

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC,

RESPONDENT.

COMPLAINANT PELOTON INTERACTIVE, INC.'S RESPONSE TO
RESPONDENT FLEXPORT INTERNATIONAL LLC'S
PROPOSED FINDINGS OF FACT

Peloton Interactive, Inc. (“Peloton” or “Complainant”) submits this Response to Flexport International LLC’s (“Flexport” or “Respondent”) Proposed Findings of Fact (“FPFFs,” each an “FPFF”). All FPFFs are presented in the same format as originally provided by Flexport. Any typographical errors or inconsistencies are due to direct transcription from the source materials.

Flexport Header “a. Flexport did not provide “store door” service.”

Peloton’s Response to FPFF Header “a.”: Denied. This FPFF header is improper legal argument, unsupported by citations or evidence. Further denied as contradicted by evidence that Flexport was responsible for moving Peloton shipments under “store door” terms. CXD-0011-0016, CXD-0018-0019, Roche Expert Report ¶¶ 6-8, 11-27, 36-40; *see, e.g.*, CXC-0238, Banaszak Dep. Ex. 10 (FLEX-1136147) (Port to Door Freight Quote); CXC-0236, Banaszak Dep. Ex. 9 (FLEX-1136147) (“Freight Type: Port to door” confirmation email); CXB-0852, CXB-0867-0869, Banaszak Dep. Tr. 98:25-99:6 (explaining that ocean transportation includes trucking), 113:25-115:10 (explaining that Flexport’s bill of lading doesn’t show the full transportation movement); CXC-0346, Breck Dep. Ex. 9 (FLEX-1136147) (Flexport Delivery Order to trucker); CXB-0408-0410, Tanner Dep. Tr. 139:25-140:6, 141:1-17 (testifying that Flexport facilitated moves “from the port to the main location, the door that the client would request us to do so . . . if it says door to door, we’re going to move this from door to door using our various services”); CXB-0048, CXB-0051, Flexport 143(b)(6) Dep. Tr. 48:6-7; 51:2-8 (testifying that Flexport provided “end-to-end logistics support, including moving cargo” and confirmed that such support “typically involved a shipment of Peloton cargo originating in an overseas location and ending up at a Peloton warehouse or other inland location in the United States”); CXB-0859, Banaszak Dep. Tr. 105:19-22 (testifying that Flexport used the terms “port-to-door” and “door-to-door” and those terms are driven by “door Incoterms” that include drayage and other accessories); CXB-0054-

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0055, Peckham Dep. Tr. 56:7-57:4 (testifying that “depending on what Peloton had instructed, Flexport would issue a delivery order to a trucking partner of our choosing, of Flexport’s choosing, to deliver the container and its cargo to Peloton’s designated point of delivery”).

1. FPDF 1: Peloton’s claims are completely contradicted by the terms of the very agreements it references in the Complaint. The Complaint specifically alleges that the shipments at issue were transported under Negotiated Rate Arrangements (“NRAs”), Master Service Agreements (“MSAs”) entered into in June 2020 and July 2021, and their respective NVOCC Service Arrangements (“NSAs”). *See* Peloton’s Amended Complaint, Doc. No. 14 at ¶ 14.

Peloton’s Response to FPDF 1: Denied. The first sentence of FPDF ¶ 1 is legal argument, unsupported by citations or evidence, and is unrelated to the second sentence. It also contradicts FMC precedent that contractual terms must conform to statutory requirements. *See TCW, Inc. v. Evergreen Shipping Agency (America) Corp.*, Dkt. No. 1966(I), 2025 WL 516256, at *8 (FMC Feb. 13, 2025). The second sentence is admitted to the extent that Paragraph 14 of Peloton’s Amended Complaint states, “Flexport has shipped Peloton goods since at least 2015, including under various Negotiated Service Agreements (“NSAs”), Negotiate Rate Agreements (“NRAs”), and Master Service Agreements (“MSAs”). These include an MSA and related NSA dated June 1, 2020, and an MSA and related NSA dated July 1, 2021, relating to the majority of the shipments for which Peloton seeks reparations in this action.” CXA-0039, Am. Compl. at 4, ¶ 14.

2. FPDF 2: The two MSAs are essentially identical with respect to their terms. Each MSA provides that Flexport would provide [REDACTED] [REDACTED] included in the MSA. CXC-0028

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(2020 MSA) at 1, ¶ 1; CXC-0044 (2021 MSA) at 1, ¶ 1 (emphasis added).

Peloton's Response to FPFF 2: Denied in part and admitted in part. Denied in that the first sentence is improper legal argument and there are material differences between the 2020 MSA and 2021 MSA. See CXC-0029 ([REDACTED]), CXC-0033-34 ([REDACTED]), CXC-0040-41 ([REDACTED]), CXC-045([REDACTED]), CXC-0050-51 ([REDACTED]), CXC-0058-66, ([REDACTED]). Admitted that both the 2020 MSA and 2021 MSA stated that Flexport would provide "[REDACTED]" CXC-0028, Flexport 143(b)(6) Dep., Ex. 4 (2020 MSA) at 1, ¶ 1; CXC-0044, Flexport 143(b)(6) Dep., Ex. 4 (2021 MSA) at 1, ¶ 1.

3. FPFF 3: The MSAs set forth the ocean freight rates for the subject shipments.

Notably, the 2020 MSA specifically provided:

- 3. Bill of Lading Freight Service**
 - a. All shipments will move on CY-CY Ocean Bills of Lading
- 4. Detention & Demurrage**
 - a. Rates include destination detention free time of up to ten (10) calendar days for US destinations. Rates will be subject to additional surcharges after free time expires as per Flexport Tariff Rule 23-030.
 - b. Rates include destination detention free time of up to ten (10) calendar days for EU destinations. Rates will be subject to additional surcharges after free time expires as per the Flexport FEWB/FEED Demurrage & Detention Tariff.
 - c. Demurrage free time and charges will be charged as per Flexport Tariff Rule 23-030.

CXC-0040 (Ex. B to 2020 MSA) at ¶¶ 3-4.

Peloton's Response to FPFF 3: Denied in part and admitted in part. Admitted that Sections 4(a) and (b) in the referenced MSAs address "rates" in connection with detention charges. Denied in regard to the use of the words "notably" and "specifically," which connote improper legal argument.

4. FPFF 4: Likewise, the 2021 MSA specifically provided:

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3. Bill of Lading Freight Service

- a. All shipments will move on CY-CY Ocean Bills of Lading.

4. Detention & Demurrage

- a. Peloton's supplier/s shall be responsible for any additional origin costs.
- b. Rates include destination detention free time/per diem of up to ten (10) days out of terminal. Demurrage for US and CA destinations is per Flexport Tariff. Rates will be subject to additional surcharges after free time expires as per Flexport Tariff Rule 23-030. If EU and AU rates are mutually agreed upon in writing by the parties, the rates shall include destination detention free time/per diem of up to ten (10) days out of terminal and demurrage for EU and AU destinations is per Flexport Tariff. .
- c. Demurrage free time and charges will be charged as per Flexport Tariff Rule 23-040.

CXC-0058 (Ex. B to 2021 MSA) at ¶¶ 3-4.

Peloton's Response to FPFF 4: Admitted in part and denied in part. Admitted Flexport has included a portion of the MSA. Denied in in regard to the use of the words "[l]ikewise" and "specifically," which connote improper legal argument when tied to the argument in FPFF 3.

5. FPFF 5: Thus the terms of the MSAs – which Peloton alleges the shipments were transported under – clearly provides that the terms of the shipments were CY-CY and were subject to demurrage and detention at the rates set forth Flexport's tariffs. CXB-3645-CXB-3646, CXB-3701-CXB-3702 (Kardian Dep.) at 201:22 – 202:6, 257:15 – 258:9; CXD-2655, CXD-2658-CXD-2659, CXD-2662, CXD-2670, CXD-2678 (Kardian Rpt.) at 8, 11-12, 15, 23, 31.

Peloton's Response to FPFF 5: Denied. FPFF ¶ 5 mischaracterizes the terms of the MSAs. Only under the term "[REDACTED]" (not "all the terms of the MSA") did it state "[REDACTED]". CXC-0040 at ¶¶ 3-4; CXC-0058, ¶¶ 3-4.

Under the remaining terms of the MSA, Flexport agreed to handle Peloton's cargo using store door (i.e., port-to-door) terms. *See, e.g.*, CXC-0033, Flexport 143(b)(6) Dep. Ex. 4 [REDACTED]

[REDACTED]; CXC-0060-0063, Flexport 143(b)(6) Dep. Ex. 4 at Internal Ex. B.1 ([REDACTED])

[REDACTED]). Further denied in that none of the citations in FPFF ¶ 5 discuss demurrage and detention rates or Flexport's tariffs at all and therefore do not support this FPFF, rendering it unclear what is meant by the statement, "subject to demurrage and detention at the rates set forth in Flexport's tariffs."

6. **FPFF 6:** Further, the NRAs and their respective bills of lading clearly set forth, again, that each transport was CY-CY and subject to the detention and demurrage charges as set forth in Flexport's Rules Tariff. See Flexport's Answer and Affirmative Defense, Doc. No. 16, Ex. D (on every page).

Peloton's Response to FPFF 6: Denied. The proffered evidence does not support FPFF ¶ 6. The bills of lading do not show full transportation movement. CXB-0867-0869, Banaszak Dep. Tr. 98:25-99:6 (explaining that Flexport's bill of lading doesn't show the full transportation movement).

7. **FPFF 7:** Flexport is a global logistics service provider. It performs a variety of services – 21 to be exact. CXB-0341 (Tanner Dep.) at 72:14-15.

Peloton's Response to FPFF 7: Admitted that Flexport is a global logistics service provider and Ryan Tanner testified that, "Flexport provides 21 unique product services." CXB-0341, Tanner Dep. Tr. at 72:14-15.

8. **FPFF 8:** Indeed, the very language of the MSAs clearly contemplates the variety of services offered by Flexport:

Services Provider shall provide to Peloton global transportation and/or Customs services as set forth in the services and fees schedules attached hereto ... (collectively, “Services”).

CXC-0028 (2020 MSA) at 1, ¶ 1; CXC-0044 (2021 MSA) at 1, ¶ 1.

Peloton’s Response to FPFF 8: Admitted in part and denied in part. Admitted that quoted language appears in the MSAs. Denied in that the quoted language indicates the “variety of services offered by Flexport” referred to in FPFF ¶ 7, as suggested by the word “[i]ndeed.”

9. FPFF 9: Section 7(c) of the 2020 MSA and 7(d) of the 2021 MSA, respectively, each provide separate limits of liability for ocean, air, and customs brokerage. CXC-0033 (2020 MSA) at 6; CXC-0049-CXC-0050 (2021 MSA) at 6-7.

Peloton’s Response to FPFF 9: Admitted.

10. FPFF 10: The quotations provided to Peloton did not indicate that it was providing through transportation or “store door” but were just quotations for all services offered. CXB-0408-CXB-0409 (Tanner Dep.) at 139:18 – 140:21 (Flexport’s responsibility depends on the type of service requested, quoted, and then accepted by the customer); CXB-0068 (Flexport 143(b)(6) Dep.) at 68:17 – 68:23 (explaining that “[w]hen Peloton requested a quote from Flexport, during the process, they would request what services they wanted as a part of that quote.”).

Peloton’s Response to FPFF 10: Denied. The proffered evidence does not support FPFF ¶ 10. The testimony cited by Flexport establishes that Flexport’s quotes indicate the specific scope of the services it was providing to Peloton and were not just general quotes “for all services offered.” CXB-0409, Tanner Dep. Tr. 140:18-21 (testifying “[t]he true determination of what services we’re [Flexport] going to offer are what was requested by the client, which was quoted and accepted on

that quote, are the services that we're going to perform.”); *see also* CXC-0238, Banaszak Dep. Ex. 10 (FLEX-1136147) (Port to Door Freight Quote); CXC-0236, Banaszak Dep. Ex. 9 (FLEX-1136147) (“Freight Type: Port to door” confirmation email).

11. FPFF 11: Notably, the Parties’ agreements as well as all of the bills of lading indicate that the services will be “CY-CY”. See Flexport’s Answer and Affirmative Defense, Doc. No. 16, Ex. B-D. CXD-2654-CXD-2659, CXD2662-CXD2668, CXD-2671 (Kardian Rpt.) at 7-12, 15-21, 24; RX47-RX64 (Bills of lading sample).

Peloton’s Response to FPFF 11: Denied. Improper legal argument and the proffered evidence does not support FPFF ¶ 11. The MSA between the Parties and Flexport’s shipment quotes indicate that Flexport was responsible for and managed both the ocean transportation *and* inland delivery of Peloton’s shipments under store door terms. *See* CXD-0011-0016, CXD-0018-0019, Roche Expert Report ¶¶ 6-8, 11-27; 36-40; *see, e.g.*, CXC-0238, Banaszak Dep. Ex. 10 (FLEX-1136147) (Port to Door Freight Quote); CXC-0236, Banaszak Dep. Ex. 9 (FLEX-1136147) (“Freight Type: Port to door” confirmation email); *see also* Peloton Proposed Findings of Fact, Dkt. 80 (“Peloton PFF”) ¶¶ 33-38. Additionally, the bills of lading did not represent the entirety of the move. *See* CXB-0852, CXB-0867-0869, Banaszak Dep. Tr. 98:25-99:6 (explaining that ocean transportation includes trucking), 113:25-115:10 (explaining that Flexport’s bill of lading did not show the full transportation movement); CXC-0346, Breck Dep. Ex. 9 (FLEX-1136147) (Flexport Delivery Order to trucker). Further denied because Flexport moved the Peloton Shipments port-to-door, not CY-CY. *See* Peloton PFF ¶¶ 30-32, 39-61.

12. FPFF 12: Finally, the language of each and every quotation clearly provides that inland transportation is provided by Flexport as a transportation broker subject to the regulations of the FMCSA. CXC-0027 (Flexport Quote Shipment ID FLEX-1136147) at 2

(“U.S. trucking services are provided by Flexport International, LLC, a FMCSA licensed broker USDOT #2594279 and MC#906604-B.”); see also CXF-0060 (Flexport Quote for Shipment ID FLEX-1338356); CXE-0154 (Flexport Quote for Shipment ID FLEX-1117021); CXE-0166 (Flexport Quote for Shipment ID FLEX-1112979). CXD-2654-CXD-2659, CXD2662-CXD2668, CXD-2671 (Kardian Rpt.) at 7-12, 15-21, 24

Peloton’s Response to FPFF 12: Admitted in part and denied in part. Admitted that the quotations found at CXC-0027, CXE-0154, and CXE-0167 contain the quoted language “U.S. trucking services are provided by Flexport International, LLC, a FMCSA licensed broker USDOT #2594279 and MC#906604-B” in the general terms on the second page. Denied in that Flexport incorrectly cites to “CXF-0060” as a “Flexport Quote for Shipment ID FLEX-1338356.” CXF-0060 is an email chain between Peloton and Flexport counsel discussing 143(b)(6) objections. Further denied in that the language of “each and every” quotation does not clearly provide that inland transportation is provided by Flexport as a transportation broker for the Peloton Shipments subject to the regulations of the FMCSA. There is no reference to Flexport acting in a broker capacity for those particular services in a quote; the quoted language in PFF 12 has Flexport self-describing itself as being a “FMCSA licensed broker.” Further denied as Flexport was acting as a common carrier for Peloton Shipments, not a transportation broker. CXD-0014, Roche Expert Report ¶ 19; CXD-1734, CXD-1742, McCown Expert Report ¶¶ 27, 61; see also CXB-3715-16, Kardian Dep. Tr. 271:21-272:4 (“Q. Even assuming that they're acting as a property broker for the inland transportation -- okay?... the act of charging detention under their tariff, that is an FMC regulated activity; is that correct? A. That is correct.”).

FPFF Header “b. Peloton reviewed, approved, and paid each invoice and continued to use Flexport’s services for years without complaint or dispute.”

Peloton's Response to Flexport Header "b.": Denied. This FPFF header is not supported by any citations or evidence. [REDACTED]

[REDACTED] CXB-2630, CXB-2658-2659, CXB-2680, CXB-2686-2694, Baitman Dep. Tr. 22:5-10, 50:23-51:13, 72:6-16, 78:5-19, 86:2-6

[REDACTED] CXB-1716, Peloton 143(b)(6) Dep. Tr. 229:10-20; Baitman Dep. Tr. 78:5-19, 86:2-6. Peloton's deposition testimony aligns with right to seek reparations under the Shipping Act; shippers can seek reparations for payments already made. 46 U.S.C. § 41107(c) (imposing liability for civil penalty or "refund of a charge.").

13. FPFF 13: First, Peloton agreed to pay for the Services at the rates so specified therein. CXC-0029 (2020 MSA) at 2, ¶ 3(a); CXC-0045 (2021 MSA) at 2, ¶ 3(a).

Peloton's Response to FPFF 13: Denied. The citations do not discuss rates, and it is unclear from FPFF ¶ 13 or its citations to which rates Flexport is referring.

14. FPFF 14: For the 2020 MSA, Peloton agreed that, for any item on any invoice which was disputed, Peloton would notify Flexport of such dispute within 7 days. CXC-0029 (2020 MSA) at 2, ¶ 3(c).

Peloton's Response to FPFF 14: Admitted in part and denied in part. Admitted to the extent the first sentence of ¶ 3(c) of the 2020 MSA states: "[REDACTED]

[REDACTED]" Denied to the extent the statement is suggesting the scope should be expanded from "any invoice which was disputed," to invoice

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disputes under laws and regulations. To the extent this FPFF is suggesting that it applies to invoices that were disputed after being paid, *see* remainder of ¶ 3(c). Denied also to the extent Flexport contends as a proposed finding of fact that this MSA language can relinquish a cargo interest's right to seek private party relief before the FMC for invoices not disputed within 7 days of receipt.

15. FPFF 15: For the 2021 MSA, this time frame was extended to 30 days. CXC-0045 (2021 MSA) at 2, ¶ 3(c). If such dispute was not resolved, then Peloton could withhold payment. CXC-0045 (2021 MSA) at 2, ¶ 3(c).

Peloton's Response to FPFF 15: Admitted in part and denied in part. Admitted to the extent the first sentence of ¶ 3(c) of the 2021 MSA states: "[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]" Denied for the same basis as response to FPFF ¶ 14.

16. FPFF 16: The NRAs and bills of lading, as well as the publicly-available Rules Tariffs, clearly set forth that Peloton was to be responsible for all D&D charges, at the rates set forth in the Tariff. RX142-RX187 (Flexport Tariffs).

Peloton's Response to FPFF 16: Denied. The proffered evidence does not support FPFF ¶ 16. RX142-RX187 are merely Flexport's rules tariffs. They are not specific to Peloton, nor do they discuss Peloton or its responsibility for D&D charges at all.

17. FPFF 17: Peloton's entire claim is that it was not responsible to pay any detention or demurrage charges because these were "store door" moves:

In the store door shipments, **Flexport, as the common carrier, was responsible for arranging and paying for all aspects of the inland**

movement of the Peloton Containers..... Peloton’s Amended Complaint, Doc. No. 14 at ¶ 17.

Peloton’s Response to FPFF 17: Denied. The FPFF makes improper legal arguments, and the proffered evidence does not support FPFF ¶ 17. The selective quote from Peloton’s Verified Amended Complaint refers to how Flexport contracted for and handled Peloton’s shipments, and by its plain language does not discuss detention and demurrage charges. Peloton’s claim is that Flexport’s unreasonable D&D practices resulted in millions of dollars of D&D charges that violated the Incentive Principle because Flexport charged Peloton for delays that were under Flexport’s control or its responsibility. *See, e.g.*, Dkt. 79, Peloton’s Initial Brief in Support of its Claims Against Flexport (“Initial Br.”), at 22 (“Despite controlling Peloton’s entire shipment process, Flexport failed to critically evaluate D&D charges, pursue waivers, or mitigate unreasonable accruals. Rather, Flexport initiated D&D charges based on its own tariff and then systematically charged Peloton millions in D&D without substantive review, even when delays were caused by factors beyond Peloton’s control such as port congestion, chassis shortages, trucker and port appointment unavailability, inland carrier delays, or Flexport’s own errors.”); CXA-0039-0040, Am. Compl. at 4-5, ¶18 (“[C]osts and charges relating to delays in the timely delivery of containers (and chassis) to the designated inland locations and untimely [] return of empty containers and equipment (generally known as demurrage, detention, per diem and similar charges (“D&D”)) should have been borne by Flexport, not the shipper or consignee, *when the delays result from matters for which the shipper or consignee was not a cause or contributing factor...*”) (emphasis added).

18. FPFF 18: Indeed, Peloton readily admits that it utilized a system called “Coupa” to process, review, and approve each one of Flexport’s invoices. See Peloton’s Proposed Findings of Fact (“CPFFs”), Doc. No. 80, CPFF223 – CPFF226.

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Peloton's Response to FPFF 18: Denied. FPFF ¶ 18 misstates Peloton's Proposed Findings of Fact. The cited Proposed Findings of Fact are Peloton's explanation of the computer system, Coupa, and states that "Peloton used a software platform called Coupa to managed its accounts payable, including tasks such as tracking invoices and payments of D&D charges" and that Coupa allowed "Peloton to 'approve or reject invoices within the system.'" Peloton PFF ¶ 223 (citing CXB-2668, Baitman Dep. Tr. 60:21-22); *see also* CXB-2092, Beyar Dep. Tr. 45:14-17.

19. FPFF 19: Moreover, Peloton had multiple levels of approval for each of the invoices, depending on the amount being charged. See CPFF226 – CPFF227.

Peloton's Response to FPFF 19: Denied. FPFF ¶ 19 misstates Peloton's Proposed Findings of Fact. The cited Proposed Findings of Fact states that "Coupa also allowed Peloton to 'approve and reject invoices within that system'" and "[t]he invoice amount would indicate how many levels of approval were needed by Peloton." Peloton PFF ¶ 226 (citing CXB-2668, Baitman Dep. Tr. 60:21-22); *see also* CXB-2092, Beyar Dep. Tr. 45:14-17.

20. FPFF 20: In fact, Peloton testified that "there were several people responsible" for approving Flexport's invoices, always including a senior manager. CXB-1723-CXB-1728 (Peloton 143(b)(6) Dep.) at 238:6 – 241:17. For higher value invoices, this would include at least 4 individuals, including a director. *Id.*

Peloton's Response to FPFF 20. Denied. FPFF ¶ 20 misstates testimony by stating that there were "at least 4 individuals" in the case of higher value invoices. [REDACTED]

[REDACTED]

[REDACTED] B-1726, Peloton 143(b)(6) Dep. Tr. 239:3-16. [REDACTED]

[REDACTED]

[REDACTED].” D-1728, Peloton
143(b)(6) Dep. Tr. 241:5-8. [REDACTED] B-1728, Peloton
143(b)(6) Dep. Tr. 241:11-12.

21. FPFF 21: When Peloton was asked, why if Flexport provided such poor service and was assessing ever-increasing D&D charges, did Peloton continue to utilize Flexport’s services for two years, Peloton responded [REDACTED]
[REDACTED] CXB-1716-CXB-1718 (Peloton 143(b)(6)
Dep.) at 228:24 – 230:1.

Peloton’s Response to FPFF 21: Denied. FPFF ¶ 21 mischaracterizes and misstates the deposition question asked. There is no discussion about “poor service” within the cited testimony. The discussion concerns Peloton paying invoices during the two-year period during which Flexport handled its shipments. *See* CXB-1716-CXB-1718, Peloton 143(b)(6) Dep. Tr. at 228:24-229:9 (“Q. And for two years, you received invoices from Flexport for detention and demurrage; is that correct? A. That’s correct. You can see that in Exhibit A. Q: And in those two years, Peloton continued to pay the invoices for detention and demurrage; is that correct? A: That’s correct. [REDACTED]
[REDACTED]
[REDACTED]”).

22. FPFF 22: However, this was not true, as even after Peloton stopped using Flexport’s NVOCC services, it reviewed, approved, and paid a \$5.1 million invoice. CXC-0789-CXC-0791(email regarding payment of Flexport invoices). Peloton then approved and made the payment. CXC-0792-CXC-0808.

Peloton's Response to FPFF 22: Denied in part and admitted in part. Denied in that Peloton's referenced payment or the citation speaks to the veracity of FPFF ¶ 21 or any witness testimony. Admitted in that Peloton paid certain Flexport invoices in August 2022. *See* CXC-0789-CXC-079, CXC-0792-CXC-0808, Baitman Dep. Ex. 2. However, a significant number of the invoices discussed in the referenced email are for non-D&D line items on invoices and therefore are costs unrelated to those for which Peloton is seeking reparations in this proceeding. CXC-0792-CXC-0808. Because the \$5.1 million invoice referenced was not for \$5.1 million in demurrage and detention charges paid to Flexport, further deny it is a proper "fact" at issue in the prosecution or defense of the claims.

FPFF Header "c. Peloton's poor business planning and failure to manage its inventory capabilities causes of all of D&D charges at issue."

Peloton's Response to FPFF Header "c.": Denied. This FPFF header is improper legal argument and unsupported by citations or evidence. Flexport repeatedly and incorrectly assumes Peloton is responsible for D&D charges in all circumstances. CXB-0668, Peckham Dep. Tr. 170:7-16 ("Q. So how would you determine if Peloton was responsible for detention and demurrage charges? A. I mean, the assumption is it is their responsibility always."); CXB-0192-0193, Flexport 143(b)(6) 192:9-193:8.

23. FPFF 23: Peloton's grossly negligent business practices are well-publicized. See Flexport's Motion to Dismiss, Doc. No. 10, at 4-6.

Peloton's Response to FPFF 23: Denied. Flexport has not proffered a "fact." With no evidence referenced to support this "fact", Flexport's citation is to its own assertions and arguments in its Motion to Dismiss, which itself only contains reference to a single news article unrelated to the facts and law at issue in this proceeding.

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24. FPFF 24: As succinctly stated by Peloton’s former CEO John Foley: “To meet market demand, we scaled our operations too rapidly, and we over invested in certain areas of our business....**We own this. I own this, and we are holding ourselves accountable.**”

<https://www.nbcnews.com/business/peloton-analysis-mistakes-layoffs-recalls-challenge-company-leadership-rcna17777>

Peloton’s Response to FPFF 24: Denied in part and admitted in part. Denied as neither the article nor the quote supports Flexport’s broad generalizations in the previous FPFF regarding Peloton’s business practices. Further denied in that the topic of the article is unrelated to the facts at issue in this litigation which concerns the management and handling of Peloton cargo by Flexport. Admitted in that the quote appears in the cited article but further denied as the bolded emphasis in the quote is not included in the original article.

25. FPFF 25: Peloton acknowledged the backlog of containers and advises that it is opening two new distribution facilities to address the problems. See CXE-0091 (email dated Nov. 28, 2021).

Peloton’s Response to FPFF 25: Denied in part and admitted in part. Denied in that it is unclear what is meant by the “backlog of containers” and assumes an unproven and unstated premise.

[REDACTED]

26. FPFF 26: Peloton advised Flexport that Peloton has been notified that SFO Perris is at or over capacity and will not be able to accept inbounds. This continued throughout the week. E-0102-E-0105 (email regarding lack of capacity in June 2021).

Peloton’s Response to FPFF 26: Denied in part and admitted in part. Denied in that the timeframe “throughout the rest of the week” is unclear. Admitted as to statements contained in the referenced email.

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27. FPFF 27: Peloton's Perris facility in particular experience massive backlogs and could not received containers. CXE-0108-CXE-0109.

Peloton's Response to FPFF 27: Admitted in part and denied in part. [REDACTED]

[REDACTED] CXE-0108-0109, FLEXPOR 00029923. Denied in that the proffered evidence does not support the conclusion that Peloton's Perris facility "in particular experience [sic] massive backlogs." Further denied in that there is no specific time or period of time included in the FPFF, and it seeks to extrapolate the evidence to a broader conclusion than the citation supports.

28. FPFF 28: Flexport was instructed to halt all deliveries to the Perris facility. CXE-0108-CXE-0109

Peloton's Response to FPFF 28: Admitted in part and denied in part. Admitted insofar as Flexport was instructed to temporarily halt deliveries to the Perris facility for the subject shipments described in CXE-0108-CXE-0109. Denied in the characterization of a complete halt of all deliveries to the Perris facility. That interpretation is overly broad. The email indicates that the issue is temporary, and Peloton was actively working to resolve it. CXE-0108, FLEXPOR 00029923.

29. FPFF 29: Peloton's capacity issues and its failure to unload and return containers threatened its applications with the ocean carriers. CXE-0116, CXE-0114, CXE-0119-CXE-0120.

Peloton's Response to FPFF 29: Denied. The proffered evidence does not support FPFF ¶ 29. The emails cited discuss issues related to a single facility and a single carrier at a single period in

time and not “ocean carriers” plural. CXE-0114-0118, FLEXPOR 00025487; CXE-0119-0120, FLEXPOR 00029324.

30. FPF 30: Peloton did little to nothing to resolve this issues. CXE-0116, CXE-0114, CXE-0119-CXE-0120.

Peloton’s Response to FPF 30: Denied. Improper legal argument and colloquy and assumes facts not in evidence. Further denied in that the FPF is vague as to the meaning of “this issues.”

On the issue of capacity, [REDACTED]

[REDACTED] *See, e.g.*, CXE-0064-0066, FLEXPOR 00000315; CXE-0088, PELOTON0038220; CXE-0089, FLEXPOR 00042232; CXE-0091-0092, FLEXPOR 00051042; B-2759, Baitman Dep. Tr. 151:4-25.

31. FPF 31: Eight (8) shipments alone as claimed by Peloton amounted to \$1,714,170 in D&D. 1111157, 1126127, 1121017, 1117021, 1129896, 1126122, 1109767 and 1150998.

Peloton’s Response to FPF 31: Admitted in part and denied in part. Denied in that Flexport has listed 8 random numbers with no reference points. It is unclear what is meant by this FPF, what \$1,714,170, represents or how it was calculated based on the PFF as drafted. Peloton has searched the record and it appears this reference is to eight Flexport FLEX-IDs, as it is admitted the shipments correspond to \$1,714,170 in D&D charges claimed in this proceeding. D-1670-1726, Smith Suppl. Expert Report, Ex. 3. Those FLEX-IDs also correspond to the following issue codes in the Smith Supplemental Expert Report, which, in reviewing Flexport’s own data as to the reason for the charges, show the fault for the charges is attributable to Flexport but were improperly charged to Peloton (CXD-1670-1726, Smith Suppl. Expert Report, Ex. 3). The reasons for the charges for these eight FLEX-IDs, as taken from Flexport’s own records, are:

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- 1111157 (No Chassis: 8, Inland Carrier Delay: 29, Congestion: 3, No Appointment: 1, Peloton Issue: 0)
- 1126127 (No Chassis: 8, Inland Carrier Delay: 14, Congestion: 7, No Appointment: 0, Peloton Issue: 0)
- 1121017 (No Chassis: 21, Inland Carrier Delay: 29, Congestion: 8, No Appointment: 1, Peloton Issue: 0)
- 1117021 (No Chassis: 0, Inland Carrier Delay: 10, Congestion: 2, No Appointment: 0, Peloton Issue: 0)
- 1129896 (No Chassis: 6, Inland Carrier Delay: 6, Congestion: 5, No Appointment: 1, Peloton Issue: 0)
- 1126122 (No Chassis: 14, Inland Carrier Delay: 13, Congestion: 4, No Appointment: 0, Peloton Issue: 0)
- 1109767 (No Chassis: 20, Inland Carrier Delay: 15, Congestion: 4, No Appointment: 5, Peloton Issue: 0)
- 1150998 (No Chassis: 4, Inland Carrier Delay: 16, Congestion: 2, No Appointment: 0, Peloton Issue: 0)

32. FPFF 32: These charges alone, in the amount of \$1,714,170 were the direct result, and sole fault, of Peloton's inability to receive and return "IBAS containers". RX236-RX237. Yet these are included in Peloton's claim. Amended Complaint, Exhibit "A."

Peloton's Response to FPFF 32: Denied. The proffered evidence does not support FPFF ¶ 32.

The cited email states that "[REDACTED]

[REDACTED] RX236. This email contained an excel attachment purporting to list out those 68 containers. RX237 (native file improperly labelled as RX236 by Flexport). Further denied these eight FLEX-IDs show that Peloton was the "sole" fault when the Flexport data admissions shows reasons for the charges are "no chasis", "inland carrier delay", "congestion", "no appointment.", as detailed in FPFF ¶ 31.

33. FPFF 33: Peloton also includes in its claim tens of thousands of dollars in D&D charges for transportation which was coordinated by Peloton through EDRA. CXD-1692-CXD-1693, (Smith Suppl. Rpt. Ex. 3) at Transaction # 1100 and 1109.

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Peloton's Response to FPFF 33: Denied. The proffered evidence does not support FPFF ¶ 33. Flexport points to two Flex-IDs in Exhibit 3 of the Greg Smith Supplemental Expert Report. The D&D charges claimed in this proceeding are charges assessed by Flexport on Peloton for the transportation of Peloton cargo by container. *See* CXA-0042, Am. Compl. at 7, ¶ 30. Flexport has never challenged the dollar amounts of D&D charged in this litigation. *See generally*, Opp. Br., Dkt. 88. [REDACTED]

[REDACTED] *See* CXD-2611-2615, Exhibit to Rebuttal Report of Rich Roche ([REDACTED] [REDACTED]). Additionally, [REDACTED]

[REDACTED] ” CXD-0132, FLEXPOR 00038205. [REDACTED]

[REDACTED] *See* CXD-0216, CXD-0292, Peloton 143(b)(6) Dep. Tr. 140:7-25, 216:8-19; *see* CXA-0040, Am. Compl. at 5.

34. FPFF 34: Peloton readily acknowledged its multiple issues with the IBAS Container backlog in Los Angeles. CXC-0713-CXC-0714.

Peloton's Response to FPFF 34: Denied. FPFF ¶ 34 mischaracterizes the proffered evidence with a broad statement admission claim and it is unclear what is meant by “multiple issues.” The cited email chain does not “readily acknowledge” any “issues” with the IBAS containers. [REDACTED]

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C-0714, PELOTON0001159. Further denied, as discussed above, as other evidence undermines Flexport's attempt to place the blame solely on Peloton for capacity constraints. See Peloton's Response to FPFF ¶ 32.

35. FPFF 35: Peloton readily acknowledged its capacity issues and that D&D would result from its own failures. RX223-RX224.

Peloton's Response to FPFF 35: Denied. FPFF ¶ 35 mischaracterizes the proffered evidence in an attempt to extrapolate it to all D&D charges. The cited email does not "readily acknowledge" any "issues," but [REDACTED] RX223-224. Further denied in that this FPFF is so vague as to be meaningless. It is unconnected to specific containers, shipments, or a time period.

36. FPFF 36: At its Heseria facility, containers sat in the yard for well over 100+ days. CXC-0704-CXC-0705; CXC-0702-CXC-0702.

Peloton's Response to FPFF 36: [REDACTED]

[REDACTED]

however, denied that this extends to all containers, which is unsupported and without citations or evidence. Further denied is the implication that it was Peloton's fault, not Flexport's. The evidentiary record establishes many instances in which containers remained on Peloton facilities because Flexport was unable to pick them up. CXE-0085-0086, FLEXPOR 00022416 (Peloton stated to Flexport that Flexport's trucker, JC Transport's ("JCT"), made frequent mis-deliveries were adding to capacity issues, and was prolonging recovery of a "flexport trucking error."); CXE-0192-0193, FLEXPOR 00025048 ([REDACTED])

[REDACTED]

[REDACTED]); Peloton PFF ¶¶ 154-160 (Case Study No. 1 indicating, among other issues, that Flexport’s truckers were unable to pick up the containers from the container yard due to a lack of chassis); Peloton PFF ¶¶ 167-174 (Case Study No. 3 indicating, among other issues, that Flexport’s contracted truckers were unavailable to pick up the containers from Peloton’s warehouses once they were empty); CXC-0392-0393, Nable Dep. Ex. 4 (Flexport’s subcontractor and preferred trucker, JC Transport, lost two containers in JCT’s yard for months and Peloton was charged the entirety of the detention for that period).

37. FPFF 37: Flexport made Peloton aware of the consequences of its capacity issues and the increasing D&D that will result. RX232-RX235.

Peloton’s Response to FPFF 37: Denied as overly vague. FPFF ¶ 37 overstates the proffered evidence in an attempt to extrapolate it to all D&D charges and support a broader conclusion. The cited email is limited to discussing capacity in the LA area and only concerns two Peloton facilities. RX232-235.

38. FPFF 38: Peloton’s capacity issues were not confined to Flexport but included other NVOCCs as well, well into 2022. CXC-0826.

Peloton’s Response to FPFF 38: Denied. FPFF ¶38 is unsupported by the proffered evidence and assumes facts not in evidence. The “evidence” is a single email chain between Peloton and another logistics company. Flexport has established no facts concerning Peloton’s business relationship with this third-party. Further denied as to the time period, as the referenced email is from January 2022.

39. FPFF 39: Peloton was responsible for emptying the containers and notifying the truckers when the containers were empty. CXB-2640-CXB-2641, CXB-2785-CXB-2786 (Baitman Dep.) at 32:25 – 33:6, 177:19 – 178:1.

Peloton’s Response to FPFF 39: Denied. The proffered evidence does not support FPFF ¶ 39. Conditions such as return of empty containers and the availability of empty return locations, *among other things*, “are categorically circumstances that Peloton had no ability or capability to cause.” CXD-1740, McCown Expert Report at 13, ¶ 55. In contracting with Flexport, the Parties understood that Flexport would arrange for delivery of Peloton’s goods to Peloton’s inland facilities and for the return of empty containers and chassis to the ports under store door arrangements. CXD-1434-1435, Smith Expert Report ¶ 13.

40. FPFF 40: On many occasions, when the trucker arrived to pick up the containers which Peloton said we “empty”, they were, in fact, still full or moved (and still full). CXB-2787 (Baitman Dep.) at 179:3-19. This caused further D&D – which Peloton now seeks to claw back.

Peloton’s Response to FPFF 40: Denied. FPFF ¶ 40 is unsupported by proffered evidence and mischaracterizes and misstates the testimony. Baitman testified “I am aware of *two* instances where our warehouse team mistakenly reached out to a carrier and said that a container was empty that wasn’t. We actually took a corrective action.” CXB-2787, Baitman Dep. Tr. 179:8-11. There is no evidence that the two instances to which Baitman referred concern containers at issue in this action. *See generally*, CXB-2787, Baitman Dep. Tr. 179:8-19.

41. Peloton’s counsel prepared a spreadsheet purportedly showing the dates that Peloton notified the trucker that each container was empty in compliance with the Presiding Officer’s orders. CXF-0026-CXF 27; CXF-0032-CXF-0052b.

Peloton’s Response to FPFF 41: Denied in part and admitted in part. Denied to the extent the term “purportedly” connotes improper legal argument. Admitted that Peloton’s counsel prepared a spreadsheet labeled Appendix 1 showing dates truckers were notified that containers were ready to be picked up based on a review of information ascertainable in Peloton’s production. Peloton informed Flexport of this in the Supplemental Interrogatory Response, stating that Appendix 1 “was assembled by counsel and is not a business record maintained by Peloton,” and further explained that “Peloton reasonably relied on Flexport to maintain the information it requests in Interrogatory 15 in accordance with Flexport’s obligations under 46 CFR § 51533 including but not limited to information from Flexport’s Warehouse App email and telephone communications.” *See* CXF-0026-0027, Peloton Third Suppl. Interrogatory Response No. 15.

42. FPFF 42: Regardless, it is noted that Peloton only provides the empty notification dates for **496** of the 7,343 containers. RX3-RX6 (Tanner Second Decl.). That is only **6.7%** of the containers at issue.

Peloton’s Response to FPFF 42: Admitted in part and denied in part. This FPFF is vague as to what it refers. To the extent it refers to Appendix 1, Peloton informed Flexport in the Supplemental Interrogatory Response, attaching Appendix 1, “Due to the deficiencies in Flexport’s production and Peloton’s lack of access to the Warehouse App Peloton has been prejudiced in its ability to respond to this Interrogatory.” CXF-0027, Peloton Third Suppl. Interrogatory Response No. 15.

43. FPDF 43: Peloton claims it is not in possession of the information as to when Peloton notified the trucker that the containers were empty. CXF-0026-CXF-0029 (Peloton's Third Suppl. Responses to Flexport's Interrogatories) at 4-7; CXF-0138-CXF-0140 (Letter from Little dated July 17, 2025).

Peloton's Response to FPDF 43: Admitted in part and denied in part. As Peloton explained to Flexport, these were not records kept in Peloton's ordinary course of business because Peloton is not an NVOCC and therefore did not maintain shipping records. *See* CXF-0026-0027, Peloton Third Suppl. Interrogatory Response No. 15. Flexport, as the NVOCC, maintained shipping records for the entirety of Peloton's Shipments and primarily communicated with their subcontracted truckers. Peloton PFF ¶¶ 46-57. Peloton on occasion communicated with Flexport's truckers, but this was at Flexport's direction and facilitated by Flexport's coordination of the truckers *See* B-0064-0065, Flexport 143(b)(6) Dep. Tr. 64:23-65:16 (testifying that Flexport required its truckers to work with Peloton on delivery, because it was part of the services that Flexport contracted for with its truckers, and the reason Flexport truckers communicated with Peloton was because Flexport told them to). Furthermore, Flexport created -- and encouraged Peloton to use -- Flexport's warehouse application to track this type of data. *See* CXE-0037-0056, Flexport Warehouse App SOP; CXE-0255, PELOTON0003754 ("Can you please confirm that all that are empty in your yard are marked empty on the warehouse app?."); CXE-0080, FLEXPOT 00037080 (Flexport asking if Peloton marked containers as empty in the warehouse app and Peloton explaining that it had tried to do so but the app was not showing the proper results). The data from the Warehouse App was not produced by Flexport and it continued to refuse to do despite demands for production by Peloton. CXF-0138-40, Letter to Flexport re: Discovery Deficiencies.

44. FPFF 44: However, David Beyar, Peloton’s Sr. Manager of Transportation Operations testified that its “ERP system” contained all of the relevant shipment information, including “the audit logs on when the purchase order or shipment was created and then if there were milestones along the way and when that shipment was finally received at our – at one of the distribution centers or warehouses.” CXB-2193 (Beyar Dep.) at 145:17 – 146:14.

Peloton’s Response to FPFF 44: Denied in part and admitted in part. Denied that “ERP system” is not a quote from Beyar’s testimony and Beyar did not testify that Peloton’s ERP contained “all of the relevant shipment information.” Admitted in that Beyar testified that the information contained in Peloton’s ERP included, “the audit logs on when the purchase order or shipment was created and then if there were milestones along the way and when that shipment was finally received at our – at one of the distribution centers or warehouses.” CXB-2193, Beyar Dep. Tr. 146:6-14. Denied in that Flexport’s implication is that the information mentioned by Beyar includes the date Peloton notified Flexport’s truckers that containers were ready for pickup, and by the plain language of Beyar’s testimony, it does not.

45. FPFF 45: In fact, David Baitman specifically testified that, in preparing the “audit”, **Peloton specifically looked at the dates they provided the notification that a container was empty.** CXB-2689, CXB-2785-CXB-2786 (Baitman Dep.) at 81:10-25; 177:12 – 178:1.

Peloton’s Response to FPFF 45: Denied in part and admitted in part. Denied to the extent that this is claiming that all of the cited testimony pertained to the preparation of the audit. Further denied in that none of the cited testimony indicates Peloton tracked and maintained records of the empty notify date as part of its normal course of business, which was Flexport’s responsibility. *See*

F-0027, Peloton Suppl. Interrogatory Response No. 15; B-0351-0352, Tanner Dep. Tr. 82:18-83:10 (testifying that the retention period at Flexport is 10 years for FMC compliance, but that to his knowledge “I don't know of anything that's been deleted.”). Admitted in that Baitman testified he reviewed some empty notify dates as part of the audit. C-2689, Baitman Dep. Tr. 81: 21-25.

46. FPFF 46: Peloton in fact only used the Warehouse App for 63 of the subject shipments. RXXXX(Tanner Second Decl.).

Peloton’s Response to FPFF 46: Denied. The proffered evidence is the self-serving declaration of Ryan Tanner, prepared by Flexport in support of its brief. A review of the Tanner Declaration reveals that the statements made therein cite no authority or evidence in the record. Because Peloton no longer has access to the Warehouse App, and Flexport refused to produce the information during discovery such that it could be assessed and questioned to confirm its complete production and accuracy, Peloton has no way to verify or refute this alleged number of shipments for which Peloton utilized the Warehouse App. *See* CXF-0026-0028, Peloton Third Suppl. Interrogatory Response Nos. 15, 18; CXF-0138-0139, Letter to Flexport re Discovery Deficiencies.

47. FPFF 47: The data from the “Warehouse App” is in fact **contained in the Events Downloads**. CXA-0242 (Tanner Decl.) at 2, ¶10-13.

Peloton’s Response to FPFF 47: Denied. The proffered evidence is the self-serving declaration of Ryan Tanner, prepared by Flexport in support of its brief. A review of the Tanner Declaration reveals that the statements therein cite no authority or evidence in the record. Peloton has reviewed the Events Download and it doesn’t appear to contain data from the Warehouse App. In fact, entries within the Events Download appear to indicate the Warehouse App is a separate platform, or at least that the data is not contained in the download produced to Peloton. *See* CXD-2647 line 6189

(“[@IENILYN PLATA](#mention/user/92828). This container has not been marked as empty. Please note that the empty status is available on the warehouse app and is updated by the Perris team as soon as these are emptied.”), line 10628 (“Hi [@IENILYN PLATA](#mention/user/92828). Empty has not been reported yet. The status of all empty containers is available in the warehouse app.”); CXD-2646, line 1914 (“The San Bernadino team has confirmed BMOU4523700 as empty via the warehouse app. Please consider this as proof of delivery. Adding [@Nydia Garcia](#mention/user/122073) for”). Although Flexport claims that data from the Warehouse App is contained in the Events Download, neither the FPFF nor the cited declaration contain any citation to bates numbers referencing the specific lines within the Events Download produced during discovery so that this bald statement can be verified.

48. FPFF 48: Yet, counsel’s letter and Peloton’s Third Supplemental Responses state that this data is not included and that Peloton does not have access to the Warehouse App. CXF-0026-CXF-0029 (Peloton’s Third Suppl. Responses to Flexport’s Interrogatories) at 4-7; CXF-0138-CXF-0140 (Letter from Little dated July 17, 2025).

Peloton’s Response to FPFF 48: Admitted, with the exception of the term “yet” which connotes improper legal argument. Peloton informed Flexport of Flexport’s discovery deficiencies several times, which remain uncured. *See generally*, Complainant's Motion to Compel, Dkt. 32; Complainant's Opposition to Respondent's Motion for Judgement on the Pleadings, Dkt. 21; Complainant's Second Motion for Extension of the Scheduling Order, Dkt. 36; Complainant's Opposition to Non-Party Zim Integrated Services Ltd.'s Motion to Quash, Dkt. 44; Complainant's Third Motion for Extension of the Scheduling Order; Joint Status Report, Dkt. 50; Complainant's Opposition to Flexport's Motion to Dismiss the Complaint and for Sanctions, Dkt. 58; Complainant's Opposition to Respondent's Motion for Sanctions for Failing to Comply with

Discovery Orders, Dkt. 66; Complainant's Status Report, Dkt. 67; F-0138, Letter to Flexport re Discovery Deficiencies; F-0118, Letter to Flexport Counsel re Production of CORE Document.

49. FPFF 49: A review of the data entries prepared by counsel for the 6.7% of the containers at issue that he provided indicates that the vast majority of the data is in fact completely incorrect and misleading – of the 498 lines where delivery dates were actually entered, 255 of these are incorrect. RX3-RX6 (Tanner Second Decl.).

Peloton's Response to FPFF 49: Denied. In support of FPFF ¶ 49, Flexport cites the self-serving declaration of Ryan Tanner. A review of the Ryan Tanner Declaration reveals that the statements made therein cite to no authority or evidence in the record. This statement in particular cites to a supplemented version of Peloton's Appendix 1 created by Flexport with additional columns purporting to be the correct delivery dates for the shipments at issue. See RX006, Flexport Supplemental Appendix 1. Flexport does not cite to this information in the record, by bates number or otherwise, and proffered the spreadsheet for the first time in support of its Opposition Brief, not during discovery in this case. Peloton no longer has access to the Warehouse App, so the preparation of Appendix 1 to its Third Suppl. Interrogatory Response is based solely upon a review of the evidence in the record. *See* CXF-0026-0028, Peloton Third Suppl. Interrogatory Response Nos. 15, 18; CXF-0138-0139, Letter to Flexport re Discovery Deficiencies. A review of Flexport's Supplemented Appendix 1 reveals that its new delivery dates do not match its own Events Download, the data that Flexport itself relied upon to create the invoices in dispute here. *See* Reply Br. at § V.E.3.

50. FPFF 50: For example, on the 8th line down is container BEAU5262910, which counsel states was delivered on June 19, 2021, and empty notified on November 16, 2021,

but the empty was not returned until February 17, 2022. CXF-0026-CXF27; CXF-0032-CXF-0052.

Peloton's Response to FPF 50: Denied in part and admitted in part for the same reasons as in response to FPF ¶ 49. Admitted in that these dates are what Peloton was able to establish based on the evidence in the record, and Flexport did not produce alternative data during discovery. As Peloton explained to Flexport, these were not records kept in Peloton's ordinary course of business because Peloton is not an NVOCC and therefore did not maintain shipping records. *See* F-0026-0027, Peloton Third Suppl. Interrogatory Response No. 15. Flexport, as the NVOCC, maintained shipping records for the entirety of Peloton's Shipments and primarily communicated with their subcontracted truckers. Peloton PPF ¶¶ 46-57.

51. FPF 51: Similarly, container APHU7263406 (4 lines down), which counsel says this was delivered June 26, 2021, and also empty notified on November 16, 2021, but the empty not returned until February 17, 2022. CXF-0026-CXF27; CXF-0032-CXF-0052.

Peloton's Response to FPF 51: Denied in part and admitted in part for the same reasons as in response to FPF ¶¶ 49 and 50. Admitted in that these dates are what Peloton was able to establish based on the evidence in the record, and Flexport did not produced alternative data during discovery. As Peloton explained to Flexport, these were not records kept in Peloton's ordinary course of business because Peloton is not an NVOCC and therefore did not maintain shipping records. *See* F-0026-0027, Peloton Third Suppl. Interrogatory Response No. 15. Flexport, as the NVOCC, maintained shipping records for the entirety of Peloton's Shipments and primarily communicated with their subcontracted truckers. Peloton PPF ¶¶ 46-57.

52. FPDF 52: For containers CAIU9393322 and TCLU5171642 (many lines down), counsel says these were delivered June 26, 2021, and empty notified on November 16, 2021 – but empty not returned until February 17, 2022. CXF-0026-CXF27; CXF-0032-CXF-0052.

Peloton’s Response to FPDF 52: Denied in part and admitted in part for the same reasons as in response to FPDFs ¶¶ 49-51. Admitted in that these dates are what Peloton was able to establish based on the evidence in the record, and that Flexport did not produce alternative data during discovery. As Peloton explained to Flexport, these were not records kept in Peloton’s ordinary course of business because Peloton is not an NVOCC and therefore did not maintain shipping records. *See* CXF-0026-0027, Peloton Third Suppl. Interrogatory Response No. 15. Flexport, as the NVOCC, maintained shipping records for the entirety of Peloton’s Shipments and primarily communicated with their subcontracted truckers. Peloton PFF ¶¶ 46-57.

53. FPDF 53: Yet, for all of these containers, the June 2021 delivery dates were not the dates that the containers were delivered to Peloton’s facility, but rather to JCT’s yard because Peloton’s facility (Perris) had no capacity to receive them. RX191-RX198.

Peloton’s Response to FPDF 53: Denied. FPDF ¶ 53 is unsupported and references no relevant citations or evidence in support. The proffered evidence is an email chain between Flexport, MD Logistics (a third-party warehouse provider), and JC Transport discussing deliveries. It does not mention Peloton’s Perris facility or lack of receiving capability. Peloton was not a party to this email chain and as such, had no insight into the details therein. Peloton is not responsible for Flexport’s inaccurate data, especially when Flexport had the information necessary to correct such data at the time of its creation. This further exemplifies that the information was in Flexport’s possession.

54. FPFF 54: Counsel is attempting to show that, for these containers, there was considerable time between empty notify and pickup date. CXF-0032-CXF-0052 (Peloton’s Third Suppl. Responses to Flexport’s Interrogatories App. 1).

Peloton’s Response to FPFF 54: Admitted in part and denied in part. Admitted in that there was considerable time between empty notify and pickup date. Denied in that counsel is “attempting” to show this – Peloton’s records *do* show that there was considerable time between empty notify and pickup dates.

55. FPFF 55: Peloton provided no evidence of lack of appoints, such as from BlueCargo, despite having admitted that it utilized the service – and utilized it in the audit which it has concealed. CXB-1518-CXB-1519 (Peloton 143(b)(6) Dep.) at 31:21 – 32:6; CXB-2112-CXB-2113 (Beyar Dep.) at 65:25 – 66:5; CXB-2783-CXB-2784 (Baitman Dep.) at 175:17 – 176:131; CPFF244.

Peloton’s Response to FPFF 55: Denied. FPFF ¶ 55 is unsupported and references no relevant citations or evidence in support. Peloton does provide evidence of lack of appointments. *See* CXD-1664, Smith Suppl. Expert Report at 7, ¶ 15 (“‘No Appointments’ refers to situations in which the terminal did not have appointments available either to pick up a container for delivery or to return an empty container – again, these situations are beyond Peloton’s control and not its responsibility.”); CXD-1669, Smith Suppl. Expert Report Ex. 2 (listing the terms used by Greg Smith to identify “No Appointment” issue codes); CXD-1670-1726, Smith Suppl. Expert Report, Ex. 3 (listing 238 instances of “No Appointment”); CXC-0225, Banaszak Dep. Ex. 6 (Message indicating “These are the first available pick up appointments we could get at the port.”); CXC-0229, Banaszak Dep. Ex. 7 (“Similar to gating out full containers, returning empties requires appointments slots with the terminals. Right now many terminals are not even posting empty return

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appointment times.”); CXC-0260, Banaszak Dep. Ex. 18 (“We are still pending a port pick up appointment on KKFU7963021 for delivery at SFO Richmond. Hopefully pick up will happen today or tomorrow and can deliver on Saturday or Monday.”); CXB-0183, Flexport 143(b)(6) Dep. Tr. 183:1-16; CXB-0639-0642, Peckham Dep. Tr. 141:6-142:10, 143:17-144:15; CXB-0919, B-1138-1139, Breck Dep. Tr. 165:2-23, 159:4-160:1. [REDACTED]
[REDACTED] B-1518-1519, Peloton 143(b)(6) Dep. Tr. 31:21-32:8 (“[REDACTED]”). Accordingly, Flexport, as the NVOCC, is the entity most likely to have evidence in its possession regarding appointment availability and should have produced same.

56. FPFF 56: Peloton has not produced any documents from the audit and has identified only two such documents as being “privileged.” RX242.

Peloton’s Response to FPFF 56: Denied. Peloton has not produced communication with counsel and associated audit document. Peloton has produced a privilege log and a declaration from Angad Gadhok concerning the audit. RX242, Peloton's Privilege Log; F-0053-0054, Gadhok Affidavit.

57. FPFF 57: David Baitman was in charge of the audit. CXB-2089 (Beyar Dep.) at 42:8-10; CXB-2780-CXB-2781, CXB-2837 (Baitman Dep.) at 172:25 – 173:12, 229:6-12.

Peloton’s Response to FPFF 57: Admitted insofar as “in charge” means that it was directed and overseen by David Baitman, who was a business team leader involved for a time.

58. FPFF 58: David Beyar was the primary employee who conducted the audit at the direction of Mr. Baitman. *Id.*; see also CXB-2088 (Beyar Dep.) at 41:15-21.

Peloton’s Response to FPFF 58: Admitted in part and denied in part. Admitted in that Baitman was Beyar’s supervisor at the time Beyer worked on the audit. CXB-1518, Peloton 143(b)(6) Dep.

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Tr. 31: 6-13 (“A. David Beyar, at the time, worked under me. I reported into David Baitman.”). Denied in that the FPFF does not define a time frame and that Beyar conducted the audit “at the direction” of Baitman.

59. FPFF 59: Mr. Beyar further testified that the Google Suite document – which he prepared prior to any mention of litigation and not on the instructions of counsel, contained all of his notes for the shipments. CXB-2213-CXB-2215 (Beyar Dep.) at 166:15 – 168:11.

Peloton’s Response to FPFF 59: Denied. Mischaracterizes the cited testimony. David Beyar testified that it “contains different attributes about the shipment” (CXB-2213, Beyar Dep. Tr. 166:20-21), and that his notes would not be reflected for shipments prior to when he started at Peloton (CXB-2214, Beyar Dep. Tr. 167:2-9). Specifically, he says “[s]o your question was if every invoice in every line within that document would have notes, but that’s not the case.” CXB-2215, Beyar Dep. Tr. 168:12-14. The cited testimony also does not discuss the instruction or involvement of counsel.

60. FPFF 60: The audit was a work in progress well into 2024. CXB-1576-CXB-1577 (Peloton 143(b)(6) Dep.) at 89:11 – 90:20; CXB-1611-CXB-1612 (Peloton 143(b)(6) Dep.) at 124:7 – 125:1; CXB-1607-CXB-1608 (Peloton 143(b)(6) Dep.) at 120:11 – 121:2; 124:12 - 125:1.

Peloton’s Response to FPFF 60: Denied. The cited testimony is misrepresented. CXB-1576-CXB-1577, Peloton 143(b)(6) Dep. Tr. at 89:11-90:20 describes how [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

61. FPFF 61: All of the drafts of the audit documents (developed prior to retention of counsel) were “rolled up into the audit sheet” and deliberately not produced. CXB-1614-CXB-1617 (Peloton 143(b)(6) Dep.) at 127:22 – 130:17.

Peloton’s Response to FPFF 61: Denied. FPFF ¶ 61 is unsupported by the cited evidence and misstates testimony. Peloton’s corporate deponent stated that [REDACTED]

[REDACTED] CXB-1615, Peloton 143(b)(6) Dep. Tr. 128:18-21; *see also* CXB-1616, Peloton 143(b)(6) Dep. Tr. 129:8-11.

Flexport Header “d. Gregory Smith is not qualified to offer an expert opinion on liability and failed to conduct the required container-by-container analysis.”

Peloton’s Response to FPFF Header “d.”: Denied. Unsupported by citations or evidence. Greg Smith is qualified to offer an expert opinion on damages; Smith is a Certified Public Accountant, Chartered Global Management Accountant, and Master Analyst in Financial Forensics with over thirty years of accounting, consulting, and business experience and “considerable experience analyzing financial and economic issues related to the operations of companies participating in the transportation industry, including ocean shipping, port operations, and inland transportation.” CXD-1430-1431, Smith Expert Report ¶ 3. Further, Smith provides analysis on a container-by-container analysis. *See* Peloton PFF ¶¶ 334-382. Flexport did not rebut Smith’s report with an expert, nor bother to take Smith’s deposition.

62. FPFF 62: Gregory Smith was specifically retained by Peloton “to quantify the damages incurred by Peloton”. He is an accountant. Period. CXD-1430 (First Smith Rpt.) at 1, ¶ 3.

Peloton's Response to FPFF 62: Admitted with the exception of the improper legal argument connoted by "Period."

63. FPFF 63: He was not asked to nor did he undertake analysis to determine whether Peloton may have played some role in any delays leading to the demurrage, detention, and storage charges for any of the more than 7,000 shipments in Exhibit 1. CXD-1443-CXD-1444 (Smith Rpt.) at 14-15, ¶ 38.

Peloton's Response to FPFF 63: Denied. Smith did undertake a forensic analysis of the information belatedly produced by Flexport. CXD-1660-1665, Smith Suppl. Expert Report at 3-8, ¶¶ 9-16 (describing his methodology). This analysis included identifying data indicating any delay that could be attributed to Peloton. *See* CXD-1663, Smith Suppl. Expert Report at 6, n. 10; *see also* CXD-1668-1669, Smith Suppl. Expert Report, Exs. 1 and 2 (listing the search terms identified as Peloton Responsibility and Flexport Responsibility). Greg Smith is a damages expert with extensive experience in forensic accounting. CXD-1430-1431, Smith Expert Report at 1-2, ¶¶ 3-5; CXD-1446-1451, C.V. of Greg Smith.

64. FPFF 64: Mr. Smith makes clear that his legal analysis is based upon his review of the Events Downloads. CXD-1658 (Smith Suppl. Rpt.) at 1, ¶ 2.

Peloton's Response to FPFF 64: Denied in part and admitted in part. Denied in that Smith conducted a forensic analysis, not a legal analysis. Admitted in that Smith conducted the forensic analysis referenced in the Smith Supplemental Report based on Flexport's belated production of its Events Download data. Flexport has stated several times that the Events Download contained all of the shipment details for every Peloton Shipment. *See* CXD-0624–0626, Peckham Dep. Tr. 126:2–128:5 ("That was the system through which all operations are managed... Like that's the

entire work flow of the company.”); CXB-0365–0366, Tanner Dep. Tr. 96:1–97:16 (describing all the items that can be found in CORE); CXA-0242, Tanner Decl. ¶¶ 9–12 (“described Flexport’s system, referred to internally as the “Core” platform in which it provides clients, including Peloton of real-time tracking data for each and every shipment handled by Flexport.”); *see also* Opp. Br. at 50, n. 24 (“To clarify, as Flexport’s corporate representative testified, the details of the shipments as inputted from various sources, including Flexport, Peloton, the motor carriers and the ocean carriers, into Flexport’s system which it calls ‘Core’”); CXA-0242, Tanner Decl. ¶¶ 9–12 (“described Flexport’s system, referred to internally as the “Core” platform in which it provides clients, including Peloton of real-time tracking data for each and every shipment handled by Flexport.”).

65. FPDF 65: However, Mr. Smith’s entire opinion is based upon the following false, unsupported premise – that the references to “events” in the Events Downloads (such as chassis, missed appointment, etc.) provides conclusive proof that Flexport was responsible for all of the D&D charges assessed for that particular shipment. CXD-1664-CXD-1665 (Smith Suppl. Rpt.) at 7-8, ¶¶ 16-18.

Peloton’s Response to FPDF 65: Denied. Smith conducted a forensic analysis of the Events Download to establish the cause of each D&D charge, analyzing the communications memorialized in the Events Download by Flexport, regarding shipment delays entered by the Flexport operations team in CORE and contained in the Events Download. CXD-1660-1662, Smith Suppl. Expert Report at 4-5, ¶¶ 9-11. Flexport has represented that the Events Downloads contains all the relevant information for Peloton Shipments. *See* CXC-0624–0626, Peckham Dep. Tr. 126:2–128:5 (“That was – that’s the system through which all operations are managed... Like thats the entire work flow of the company.”); CXB-0365–0366, Tanner Dep. Tr. 96:1–97:16

(describing all the items that can be found in CORE); CXA-0242, Tanner Decl. ¶¶ 9–12 (“described Flexport's system, referred to internally as the "Core" platform in which it provides clients, including Peloton of real-time tracking data for each and every shipment handled by Flexport.”)

66. FPFF 66: Mr. Smith then just concludes, based solely on the number of times that an “event” was listed, who was responsible for the entire charge. CXD-1659-CXD-1660 (Smith Suppl. Rpt.) at 2-3, ¶ 7.

Peloton’s Response to FPFF 66: Denied. Smith employed a detailed methodology to identify the causes for delay recorded by Flexport in the Events Download, which included analyzing the communications regarding shipment delays entered by the Flexport operations team in CORE and contained in the Events Download. D-1662-1665, Smith Suppl. Expert Report at 5-8, ¶¶ 12-17; Peloton PFF ¶¶ 364-370; Initial Br. at 62-66.

67. FPFF 67: Then Mr. Smith makes the sweeping conclusions that since an “event” was listed, then all D&D charges assessed in that Flex ID Invoice are unreasonable. CXD-1659-CXD-1660 (Smith Suppl. Rpt.) at 2-3, ¶ 7.

Peloton’s Response to FPFF 67: Denied. FPFF ¶ 67 mischaracterizes and misstates the proffered evidence. Smith concludes that certain D&D charges corresponding to specific FLEX-IDs should be attributed to Flexport or Peloton based upon his detailed review of Flexport’s own records obtained from the CORE platform, using issue codes derived from the same. D-1660-1662, Smith Suppl. Expert Report at 4-5, ¶¶ 9-11.

68. FPFF 68: However, while Mr. Smith references the “events” for each invoice, as the documents reveal, each invoice typically included multiple containers. CXE-0002-3,

CXE-0007, CXE-0012, CXE-0016, CXE-0019, CXE-0168, CXE-0172, CXE-0180, CXE-0183, CXE-0186, CXE-0228 RXXX(compilation of invoices).

Peloton’s Response to FPFF 68: Admitted in part, denied in part. Smith conducted his analysis on an invoice level because that is how Flexport tracked charges and invoices within Flexport’s system, and thus, how it produced the information to Peloton—by FLEX-ID, which could contain multiple containers.

69. FPFF 69: Moreover, Mr. Smith does not link any “event” with any delay - he only concludes that the reference to such event means that any resulting charges were unreasonable, but he does not ever provide any analysis that the “event” actually led to any delay. CXE-0002-3, CXE-0007, CXE-0012, CXE-0016, CXE-0019, CXE-0168, CXE-0172, CXE-0180, CXE-0183, CXE-0186, CXE-0228 RXXX(compilation of invoices).

Peloton’s Response to FPFF 69: Denied. The proffered evidence does not support FPFF ¶ 69; it merely cites to several invoices included in the parties’ appendices. The Supplemental Smith Expert Report relies on data that Flexport itself asserts includes complete details for all subject shipments. *See* CXD-0624–0626, Peckham Dep. Tr. 126:2–128:5; CXB-0365–0366, Tanner Dep. Tr. 96:1–97:16; CXA-0242, Tanner Decl. ¶¶ 9–12. As confirmed in Flexport’s corporate deposition, its standard practice was to assess detention and demurrage charges strictly based on its tariff, NRA, MSA, and the last free dates provided by the underlying carriers. *See* CXB-0171, Flexport 143(b)(6) Dep. Tr. 171:1-6 (“The term policy, as I use it – and I’m a stickler for that one – no. Our policy on the assessment of demurrage is our rules tariff. That is our policy. The policy of which we play by is our rules tariff and the FMC regulations. There is nothing needed more than that”); CXB-0377, Tanner Dep. Tr. 108:9-15 (“Again, based on the way that we built our platform, we don’t necessarily have a policy because we relied on our rules tariff, which the logic of our rules

tariff is built into our platform hard-coated (sic) with guard rails to ensure compliance. So no, we didn't necessarily need or require a new internal policy"). The Smith Supplemental Expert Report identifies categories of issue codes—the vast majority of which are circumstances beyond Peloton's control—that show Flexport's stated reason for each shipment's delay, as entered by its operations team. These codes appeared in Flexport's Events Download for each shipment as indicated in the Smith Supplemental Expert Report, Exhibit 3 and should have been considered by Flexport when issuing invoices. *See* CXD-1664, Smith Suppl. Expert Report at 15, ¶15. More importantly, where there was no indication of Peloton responsibility, Flexport should not have charged Peloton, regardless of the presence of the "Flexport Responsibility" categories, because there was no evidence that Peloton contributed to or otherwise could have prevented the charges from accruing. *See* CXD-1660, Smith Suppl. Expert Report at 3, ¶ 8.

70. FPFF 70: Nor does Mr. Smith link any "event" to any particular charge – **at all**. CXE-0002-3, CXE-0007, CXE-0012, CXE-0016, CXE-0019, CXE-0168, CXE-0172, CXE-0180, CXE-0183, CXE-0186, CXE-0228 RXXX(compilation of invoices).

Peloton's Response to FPFF 70: Denied. The proffered citations do not support FPFF ¶ 70, it merely cites invoices contained in the parties' appendices. Peloton incorporates its response to FPFF ¶ 69. Contrary to FPFF ¶ 70, the Smith Supplemental Expert Report does directly link "events" to specific charges in the same way that Flexport does in its ordinary course of business—by FLEX-ID—as illustrated by the invoices cited by Flexport in support of this FPFF.

71. FPFF 71: Again, Mr. Smith merely states that an "event" was listed X number of times and thus, **all** charges relating to the referenced invoice should be Flexport's responsibility. CXE-0002-3, CXE-0007, CXE-0012, CXE-0016, CXE-0019, CXE-0168,

CXE-0172, CXE-0180, CXE-0183, CXE-0186, CXE-0228 RXXX(compilation of invoices).

Peloton’s Response to FPF 71: Denied. The proffered evidence does not support FPF ¶ 71; it again merely cites invoices contained in the parties’ appendices. Peloton incorporates its response to FPF ¶ 69. Flexport’s characterization of the Smith Supplemental Expert Report is both reductive and misleading. Smith analyzed the communications regarding shipment delays entered by the Flexport operations team in CORE and contained in the Events Download. CXD-1660-1662, Smith Suppl. Expert Report at 4-5, ¶¶ 9-11. Smith’s analysis clearly states that, for the shipments listed in Exhibit 3—where the evidence indicates sole responsibility lies with Flexport—the associated charges should be borne by Flexport. CXD-1665, Smith Suppl. Expert Report at 8, ¶18. The report distinctly categorizes issue codes based on the same data that Flexport asserts contains complete details for all subject shipments. *See* CXD-0624–0626, Peckham Dep. Tr. 126:2–128:5; CXB-0365–0366, Tanner Dep. Tr. 96:1–97:16; CXA-0242, Tanner Decl. ¶¶ 9–12. Exhibit 3 of the Smith Supplemental Expert Report stands as evidence, pulled from Flexport’s own data, that the D&D charges were not attributable to Peloton. Instead, they stemmed from factors outside Peloton’s control (e.g., port congestion and lack of appointments), from Flexport’s own actions (e.g., chassis unavailability and inland carrier delays), or from unexplained omissions (e.g., instances where Flexport recorded no data). These conditions were Flexport’s responsibility—not Peloton’s—but were nonetheless charged to Peloton. *See* Peloton PPF ¶¶ 335, 359–382.

Dated: October 1, 2025

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the date which appears below, the undersigned served the attached document on counsel for Respondent at the following email addresses:

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